



SAAS CHURN & RETENTION REPORT

Data Science & Analytics Internship Task 2



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FUTURE INTERNS

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Executive Summary

During The analysed period, Ravenstack experienced a baseline customer churn rate of 22.8%. While overall feature engagement remains high across the board, the primary catalyst for cancellations is heavily tied to tied to post-sale operational friction, specifically product feature confusion and delayed customer support. The report goes further into detail about these findings, and actionable recommendations to reduce churn rates.

Primary Churn Drivers

From the analysis done, multiple reasons were discovered as reasons why subscribers are cancelling their subscription. The top three reasons that were found were: budget, features, and support. This top three became significant, because amongst the three top reasons, two of them are reasons within the company's control: features, and support. It's also more noteworthy, because they, combined, account for roughly 32% of all churned users, which is a significant amount.

On the side of features, it is found that users are struggling to get to terms with how features work with the service they subscribed for. Due to this, users are opting to instead cancel their subscription.

With support, which will be discussed in the next section of this report, many users are also experiencing support delays, many that we believe are new, frustrated users. This, too, is resulting in users choosing to rather cancel their subscriptions.

Key Retention Drivers

Contrary to standard assumptions, the data analysed reveals that active accounts experience longer average support resolution times compared to churned accounts. However, churned accounts show a higher rate of Ticket Escalations.

This indicates that retained customers are deeply engaged and willing to wait for complex technical resolutions. Conversely, churned customers are experiencing high-friction, frustrating roadblocks – primarily related to product features (mentioned in the above section) – resulting in escalations and, subsequently, cancellations.

High Risk Users

In the dashboard, a list of active, high-value accounts that are currently experiencing a large amount of system errors. Based on the statistics already drawn up from the data, these accounts are likely to cancel their subscriptions soon, if their issues aren't dealt with soon.

The Table was created to help the company identify the customers that are likely on the brink of cancelling their subscriptions, to attend to them a lot quicker.

Actionable Recommendations

Based on the data, this is the recommendations suggested:

Features Guide

A features guide needs to be created, since a good proportion of users leaving is related to features. This features guide will help explain how specific features work, and steps on how to use them, and self-troubleshoot basic feature-related issues. For more potent issues, a team of dedicated feature-support staff should be readily available to assist customers and prevent them from cancelling out of frustration.

Overhaul the Escalation Protocol

Since average wait times don't correlate directly with churn, management should focus a lot more on preventing ticket escalations, instead of focusing on closing tickets faster, as this is correlating greatly with users that churn. Any support ticket that gets flagged as an escalated ticket should immediately be alerted to either a dedicated team of support senior staff responsible for ticket escalations, or to a Customer Success Manager.

Proactive Account Rescue

Customer support managers should be alerted immediately whenever a high-value account, especially Enterprise, logs more than 10 system errors, allowing them to proactively reach out before the customer decides to cancel.

Conclusion

So, with the churn rate being at 22.73% during the analysed period, the causes were found to be relating primarily to feature and support related issues, and recommendations were given to help reduce that churn rate were:

- Introducing a feature guide to help users with feature-related issues, as well as a dedicated feature-support staff.
- Overhauling the escalation protocol to prevent tickets from escalating further.
- Being more proactive when high-value customers record high numbers of system errors

We believe that these recommendations will help curb the existing churn rate, and promote better customer retention.